



DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING SYSTEMS COMMAND, MID-ATLANTIC
9324 VIRGINIA AVENUE
NORFOLK, VIRGINIA 23511-3095

Class J&A No. ML-23-04

**FACILITIES RELATED CONTROLS SYSTEMS
CLASS JUSTIFICATION AND APPROVAL FOR USE OF OTHER THAN FULL AND
OPEN COMPETITION**

1. Contracting Activity.

Naval Facilities Engineering Systems Command, Mid-Atlantic (NAVFAC MIDLANT)

2. Description of the Action Being Approved.

This Class Justification and Approval (CJ&A) authorizes and approves the use of brand name commercial Facility Related Control Systems (FRCS) programmable building controllers from the following manufacturers (referred to in this document as "Specified Manufacturers and Product Lines") in contract actions requiring interface with the identified installation networked facilities control and monitoring system at Naval Air Station Oceana, which includes Dam Neck Annex (referred to in this document as "the Installation"):

Manufacturer Name:	Product Line:
Johnson Controls International	Metasys
Automated Logic Corporation	WebCTRL

Authority to act under this CJ&A is authorized from 30 November 2022 to 29 November 2025.

3. Description of Supplies/Services.

The use of the indicated brand name programmable building controllers in Section 2 will be required for all projects providing programmable building controllers that will be connected to the identified (existing or currently under development) installation networked FRCS commonly referred to as the Oceana Building Controls Network (Oceana BCN).

Network-capable programmable digital controllers include, but are not limited to network controllers and routers, building level supervisory controllers, zone controllers, variable air volume controllers, unitary and equipment controllers, and expansion modules. It does not include the physical system components (such as air handling units, chillers, boilers, condensing units, actuators, dampers, wiring, and similar).

The Specified Manufacturers and Product Lines controllers will be configured and programmed using Government-licensed software from the respective Specified Manufacturers. This requirement does not restrict who can install, commission, test, maintain, or operate the controllers, and there are several known sources who can provide such services.

The total estimated value for the use of the Specified Manufacturers and Product Lines equipment through 29 November 2025 is \$. The cost of programmable building controllers typically represents approximately 20 percent of the cost of the total controls installation effort, and is a miniscule percentage of the total cost of any building construction effort. A non-exhaustive listing of the projected projects that will utilize this equipment is provided in Appendix A. All required programmable building controllers are authorized under this CJ&A regardless of method of execution or procurement strategy (i.e., contracted, in-house shop forces, base operating support contracts, or materials supply chain contractor).

Estimated Dollar Value of Brand Name Equipment (\$K)

	FY23 – FY26
MILCON	
Special Projects	
TOTAL	

4. Statutory Authority Permitting Other Than Full and Open Competition.

The statutory authority permitting other than full and open competition is Title 10, U.S.C. 3204(a)(1), as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, "Only one responsible source and no other supplies or services will satisfy agency requirements."

5. Rationale Justifying Use of Cited Statutory Authority.

The Installation has a reasonable need for standardization and interoperability of its existing building control systems that will require a connection to the identified installation networked facilities control and monitoring systems commonly referred to as the Oceana BCN. Applicable United States Government Accountability Office (GAO) Comptroller General decisions have acknowledged the authority of a federal agency to use other than competitive procedures when there is a reasonable need for standardization or interoperability with existing agency equipment or software and when it is likely that award to other sources would result in substantial duplication of cost to the government that is not expected to be recovered through competition.

To assess the need for standardization and interoperability, a rigorous business case analysis (BCA) was performed on the existing inventory of building control systems connected to the future Oceana BCN. The BCA evaluated the standardization of building programmable controllers and quantified the annual costs associated with procurement, sustainment of operation and maintenance, and establishment and sustainment of Department of the Navy cybersecurity requirements. The results of the BCA demonstrate that in order to minimize costs and potential cyber vulnerabilities, the use of the indicated Specified Manufacturers and Product Lines programmable building controllers will be required for all projects that require a connection to the Oceana BCN.

Additionally, in support of the future Smart Grid program, all new building control systems, unless identified by exception, shall be required to connect to the Oceana BCN.

The Installation requires that programmable building controllers be the Specified Manufacturers and Product Lines in order to meet its need for, and achieve the benefits of, standardization and interoperability as follows:

a. Establish and maintain a defensible cybersecurity posture. The rapid emergence of cyber incidents on critical Industrial Control Systems (ICS), which include FRCS, with the potential to debilitate our installation mission critical assets has catalyzed the need to establish a defensive cybersecurity posture across the shore enterprise. A Risk Management Framework (RMF) Authority to Operate (ATO) is required per DoD Instruction 8510.01. The Installation's ATO status is:

The Oceana BCN is currently in the planning stages of the RMF process as performed by NAVFACSYSCOM.

The indicated programmable controllers from the Specified Manufacturers and Product Lines and their associated application software will be authorized per the ATO and provide for the following:

(1) Cost-effectively reduce government information technology cybersecurity risks. Avoid the significant costs and delays associated with obtaining a new ATO for the future Oceana BCN which, due to government information technology cybersecurity risks, is required when additional nonconforming hardware or software is added to the system with resultant changes in the security posture of the system. The process of obtaining a new ATO would unacceptably delay the operational use of programmable controllers for the affected facility and connection of the facility to the Oceana BCN, resulting in a significant degradation in accomplishment of mission. Similarly, if additional non-conforming equipment and software were added to the Oceana BCN the associated cybersecurity costs to sustain the inventory of equipment and software and to maintain the ATO would significantly increase. Additionally, minimizing the different types of equipment and software permitted on the Oceana BCN avoids incurring additional risks to system operational availability should the NAVFACSYSCOM Functional Authorizing Official (FAO) determine that the additional equipment or software has security vulnerabilities precluding obtaining or maintaining an ATO.

(2) Control Systems (such as networked FRCSs) are classified as Platform Information Technology (PIT) systems. DoD Instruction 8500.01 requires that all PIT systems have their cybersecurity controls documented and validated prior to operation and/or deployment. All PIT systems on Navy networks must obtain an ATO from the FAO. Additionally, connection or integration into the CSPE and subsequently Smart Grid requires that the FRCS obtain an ATO from the NAVFACSYSCOM FAO.

ATOs remain valid for three years as long as the cybersecurity posture of the system does not change. A cybersecurity posture change includes, but is not limited to, system architecture changes or any other changes that increase risk or degrade the security posture. Any cybersecurity posture change must be provided to the FAO that approved/authorized the ATO

for impact review on that risk approval. When a cybersecurity posture changes, the PIT system normally will be required to complete the authorization process again to obtain a new ATO for the new configuration. The use of different brand programmable controllers or associated configuration or programming software on the Oceana BCN results in an undesirable, higher number of changes to the cybersecurity posture of the system. Obtaining an ATO is not the end of the process; maintaining an ATO is also very resource intensive and the effort increases exponentially when additional hardware or software is added to the system (that is, requires maintaining cybersecurity controls, vulnerability management, system scans/tests, and similar).

b. Maximize utilization of existing government-licensed software to configure and program the controllers. Other contractors do not offer programmable controllers that can be configured/programmed with the Specified Manufacturers' software. Although the BACnet open protocol is the required communications protocol for all manufacturers' controllers, it only allows for different manufacturers' equipment to share basic point data. It does not allow for configuration and programming functions to take place between different manufacturers' controllers. For example, manufacturer A's software cannot be used to program manufacturer B's controller. Each manufacturer's proprietary software tools must be used to configure or change the program within a controller.

c. Maintain installation networked facilities control and monitoring system so that all controllers can be programmed from a single central station versus a hybrid system composed of many different controllers and associated configuration/programming software. This approach will further improve operational efficiency and decrease installation, maintenance, repair, and energy costs. Utilizing hardware products from the same vendor that produced the configuration/programming software eliminates multi-vendor disputes regarding conflicts, standards, protocols, or performance characteristics should the controller not function as required.

d. Avoid the significant operational burden and cost of having maintenance and engineering staff become proficient with the configuration, programming, commissioning, operation, and maintenance of controllers from different manufacturers. Standardization reduces personnel training costs and decreases procurement costs related to additional equipment, maintenance, and support contracts for another manufacturer's hardware and software, as well as the maintenance of an additional parts inventory. Maintaining multiple solutions is inefficient and creates unnecessary work and overhead that increases the total costs of ownership and manpower costs.

NAVFAC MIDLANT and NAS Oceana technical personnel who performed the BCA determined that for the Installation, the contract actions authorized by this CJ&A will avoid substantial duplication of cost that is not expected to be recovered through competition. Assuming other brand name controllers could be integrated into the Oceana BCN so as to be fully functional, the significant cyber security risks, operational challenges, added costs (including the costs to re-procure the Installation's existing inventory), and other disadvantages arising from the use of different brands of controllers outlined above are not expected to be recovered through competition.

6. Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable.

Per FAR 5.201, a Sources Sought announcement was synopsized on the sam.gov website on April 22, 2022 to determine if there are other controllers capable of fully functional interface with the existing Specified Manufacturers and Product Lines Government licensed software. The Sources Sought Notice closed on May 6, 2022. No responses were received from the market. By receiving no responses from competing vendors, it indicates that there may not be any substitute or equivalent products that would fulfill the requirement.

7. Determination of Fair and Reasonable Cost.

The Contracting Officer has determined the anticipated cost to the Government of the supplies/services covered by this CJ&A will be fair and reasonable. The cost associated with a complete replacement is not practicable or cost effective.

8. Actions to Remove Barriers to Future Competition.

For the reasons set forth in Paragraph 5, NAVFAC MIDLANT does not intend to compete future contracts for the types of supplies/services covered by this document. NAVFAC MIDLANT will continue to monitor the controls industry to determine if a universal controller configuration becomes available and if another potential source emerges, NAVFAC MIDLANT will continually assess whether competition for future requirements is feasible.

Appendix A

List of projected projects using brand name controls from Specified Manufacturers and Product Lines:

PROJECT NO.	DESCRIPTION	PROGRAM YEAR	FUNDING TYPE	CWE COST (000)	MILCON (Y/N)	Cost of Controllers
P1069	Maritime Surveillance System Facility	FY20	MILCON		Yes	
P1104	Unaccompanied Housing	FY21	MILCON		Yes	
RM14-1408	DEVGRU Ops B355 Repair HVAC	FY20	SRM		No	
RM20-0771	Repair Hangar 122	FY20	SRM		No	
RM15-1266	Repair B420, Intelligence Warfare Training Center (IWTC)	FY21	SRM		No	